DRAFT #2

Financial Mismanagement and Corruption in Cuba, New Mexico: Public Finance, Government Oversight, and Accountability

ECE 220 – Group 11 | Research Report | November 2026

Executive Summary

This report examines public finance, internal controls, and corruption risks in the Village of Cuba, New Mexico. It draws primarily on the Village of Cuba Special Audit (Consulting Procedures) Report prepared by Southwest Accounting Solutions, LLC, dated April 16, 2026 and released by the New Mexico Office of the State Auditor on May 11, 2026. The engagement examined activity from July 1, 2020 through May 1, 2025. It is supplemented by the Village's fiscal year 2024 financial statements and the New Mexico State Ethics Commission's May 28, 2025 settlement announcement. Together, these materials reveal weaknesses in documentation, purchasing approvals, utility collections, grant accounting, bank transactions, and governance. (Southwest Accounting Solutions, LLC, 2026, pp. 6–9; Village of Cuba, 2025, p. 13.)

Among the major findings were $3,097,814 in combined water and wastewater operating deficits for fiscal years 2021–2025; $663,060 in bank counter withdrawals lacking adequate supporting documentation; $251,664.91 in total municipal credit-card expenditures during the reviewed period; and deficiencies in the monitoring of externally contracted financial services. The State Ethics Commission separately announced a civil settlement concerning an exclusive fuel-purchasing directive that it found reason to believe benefited a mayor-owned business. The figures represent different accounting concepts. Operating deficits, transactions without documentation, questioned spending, and payments under an ethics settlement cannot be added together as a single amount of money stolen. (Southwest Accounting Solutions, LLC, 2026, pp. 46–48, 93, 184, 197; New Mexico State Ethics Commission, 2025, pp. 1–2.)

The central conclusion is that financial problems reported in Cuba were connected through weak approval processes, limited separation of duties, and incomplete verification. The report explains the documented evidence, the implications for utility services and public trust, and practical steps to strengthen accountability. Numerical findings and their sources are included in the text. The financial tables and graphs will be inserted by the teammates responsible for visualizing the established data points.

Introduction

Local governments collect and manage public resources to support roads, public safety, water systems, wastewater treatment, and routine operations. Their effectiveness depends on more than the amount of revenue they receive: staff must document transactions, verify expenditures, collect money owed, and report accurately to elected officials and residents. In a small rural municipality, weak controls can affect several services simultaneously because departments share administrative staff and financial resources.

The Village of Cuba, located in Sandoval County, offers a relevant example. The state-directed special audit examined a broad range of financial practices, rather than a single isolated purchase. Its scope included utility billing, cash receipts, insurance premiums, grants, employee procedures, financial reporting, procurement, and monitoring of public expenditures. The 2025 request for proposals

expressly identified potential fraud, waste, and abuse as risks to examine, not conclusions that every transaction involved fraud. (Village of Cuba, 2025, pp. 13–14.)

Our research asks how financial management weaknesses created opportunities for errors or improper spending to persist and what measures could improve accountability. We also consider the distinction between evidence that an audit documents and allegations that require further investigation. This distinction is necessary because public financial reporting can become misleading when an operating deficit is presented as theft or a transaction missing records is described as a proven criminal offense.

Problem Statement and Research Objectives

The primary problem identified in this case is the inability of several municipal financial processes to provide a consistent, independently verifiable record of how public resources were collected, approved, spent, and reported. When the same office or individual can carry out multiple incompatible steps in a transaction, the ability to detect an error or improper payment becomes weaker. Even a legitimate expense can be impossible to verify if invoices, purchase orders, receipts, or approvals are unavailable. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-001, pp. 34–35.)

The project addresses four questions: What financial problems are documented? Which procedures allowed those problems to occur or remain undetected? What possible consequences follow for public services and the community? Which realistic changes could improve recordkeeping and financial transparency? The objectives are to interpret the audit findings accurately, compare them with the annual financial statements where appropriate, examine the separate ethics settlement, and identify system-level improvements that a municipality could use.

Sources and Research Method

The research uses a document-based case study. The main source is the 2026 special audit and consulting report, which is more focused on risk and control deficiencies than a conventional annual financial statement audit. The fiscal year 2024 independent audit provides a second view of government-wide financial performance and utility operations. The State Ethics Commission press release provides an official account of the fuel-purchasing settlement. The Village's request for proposals establishes the intended review period and questions assigned to the special auditors. Each source is treated according to what it can demonstrate. (Southwest Accounting Solutions, LLC, 2026; Beasley, Mitchell & Co., LLP, 2024; New Mexico State Ethics Commission, 2025; Village of Cuba, 2025.)

Financial findings were organized by fiscal year, dollar amount, type of transaction, report section, and printed page. When auditors examined nonrandom or judgmentally selected items, the report preserves the sample size and does not interpret the sample percentage as an estimate for all Village transactions. When two categories may overlap, they are not added together. Funds awarded under grants are distinguished from funds disbursed, spent, returned, or unreconciled. These basic rules are essential to avoid overstating losses or making unsupported allegations.

The research also uses systems thinking. Instead of treating each audit exception as an independent event, we examine the connections among utility collections, purchasing approvals, financial reporting, grant administration, leadership, and public oversight. Proposed improvements are

evaluated for whether they would make transactions more visible, distribute review responsibilities, and provide an understandable record to residents. This is a documentary analysis, not a forensic re-audit, criminal investigation, or survey of community opinions.

Municipal Financial Structure and Fiscal Year 2024 Performance

Municipal finances include taxes, service charges, grants, program revenues, and transfers among funds. The independent fiscal year 2024 audit reported total net position of $10,387,343 at June 30, 2024, compared with $10,825,625 at the beginning of the year. The $438,282 decline combines a $385,300 increase in governmental activities with an $823,582 decrease in business-type activities. This government-wide accounting measure is not the same as cash available for spending or the value of suspected misconduct. (Beasley, Mitchell & Co., LLP, 2024, Statement of Activities, p. 9.)

The same statement reported $5,010,756 in total program expenses for governmental and business-type activities combined. For governmental activities, reported expenses were $3,416,140, with general-government expenses of $1,429,740 and public-safety expenses of $1,609,422. Gross receipts taxes provided $1,512,251 among general revenues; the report also listed property, gasoline, franchise, lodging, and other taxes. These figures show the range of recurring commitments supported by Village finances and help explain why weaknesses in cash management can have consequences beyond a single account. (Beasley, Mitchell & Co., LLP, 2024, p. 9.)

For water and sewer operations specifically, the fiscal year 2024 audit reported $1,298,891 in expenses, $504,557 in charges for services, and $44,433 in operating grants and contributions. Together these revenues amounted to $548,990, resulting in a net program expense of $749,901. The proprietary-fund statement also reports $749,901 as the operating loss and an additional $7,440 in interest and fees, producing a $757,341 decrease in the water-and-sewer fund's net position. This measure is not interchangeable with the separate deficit calculation presented in the 2026 special audit. (Beasley, Mitchell & Co., LLP, 2024, pp. 9, 20.)

Water and Wastewater Operating Deficits

The 2026 special audit identified an extended pattern of financial deficits in the Village's water and wastewater operations. Its reported amounts were $426,268 for fiscal year 2021, $446,067 for 2022, $704,336 for 2023, $794,334 for 2024, and $726,809 for 2025. Together the five amounts equal $3,097,814. The fiscal year 2025 figure was based on draft financial statements. The annual pattern is important: while the amount fluctuated, each year in the review showed an operating deficit rather than a positive result. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-007, p. 93.)

The auditors also reported that the amount owed by the utility operations to the Village's General Fund reached $1,050,706 in fiscal year 2025. An internal amount due to another municipal fund indicates that financial support or accounting balances are being carried between funds. It does not mean an outside creditor received that amount, nor does it prove public money was misappropriated. However, prolonged reliance on other funds raises questions about whether utility rates, collections, expenditures, and planning were sufficient to sustain the system. (Southwest Accounting Solutions, LLC, 2026, p. 93.)

The annual fiscal year 2024 audit and the special audit present different financial measures and use different methods. For this reason, the fiscal year 2024 $749,901 water-and-sewer operating loss in

the annual statements should not be silently substituted for the special audit's $794,334 deficit for that year. The safest approach is to keep separate series labeled with the exact document and calculation method rather than assume that one report contradicts the other. (Beasley, Mitchell & Co., LLP, 2024, p. 20; Southwest Accounting Solutions, LLC, 2026, p. 93.)

[Insert teammate's fiscal-year utility deficit table and trend graph here. Use FY2021–FY2025 values above; label FY2025 as based on draft statements.]

Utility Billing, Customer Receivables, and Collection Controls

According to the special audit, water meters were not read consistently and some customer bills were based on estimates instead of actual usage. The audit also described weaknesses in collecting overdue balances. When consumption is estimated, bills may be less accurate; when overdue accounts are not followed up consistently, a municipality may report revenue it has not collected in cash. Both problems can contribute to uncertainty about the resources available to operate and maintain infrastructure. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-006, p. 82; Finding 2025-007, pp. 90–91.)

The aging balances for utility customers increased from $13,962 in fiscal year 2021 to $154,396 in fiscal year 2025. The increase is $140,434, approximately 1,006% relative to the 2021 figure. These balances are amounts owed by customers at the reporting dates; they are not automatically uncollectible losses, and they cannot be added to the $3,097,814 deficits as though they were a separate instance of theft. The trend does, however, support the audit's concern that inconsistent billing and collection processes can undermine utility cash flow. (Southwest Accounting Solutions, LLC, 2026, pp. 90–91.)

One additional finding concerned a large unpaid balance associated with a top governing official. The report's table on printed page 91 showed $11,471, while the nearby narrative showed $11,407. Because the original document contains two different figures, neither should be treated as a fully reconciled data point. The difference of $64 is small relative to the total, but it is an important example of why careful source tracing and data checking matter, especially in an investigation centered on accurate accounting. (Southwest Accounting Solutions, LLC, 2026, p. 91.)

[Insert teammate's customer-receivables graph here using FY2021 $13,962 and FY2025 $154,396; note that these are outstanding balances.]

Internal Financial Controls and Contractor Oversight

The audit described broad weaknesses in approval, recordkeeping, segregation of duties, and independent review. Segregation of duties means that the same person should not be able to authorize a payment, issue it, record it, and independently certify it as correct. In a small government with few staff members, perfect separation may not always be practical. Still, compensating controls—such as governing-body review, periodic external reconciliation, or an independent signoff—can reduce the risk that mistakes remain undetected. (Southwest Accounting Solutions, LLC, 2026, Executive Summary, pp. 6–8; Finding 2025-001, pp. 34–35.)

The special audit also examined $325,152 in payments to outside contractors for financial functions including payroll processing, reconciliations, and grant management. The auditors identified inadequate monitoring of the contractors' work. This does not mean the $325,152 was stolen or

that no services were delivered; it means available controls were insufficient to verify whether the services were properly performed and the costs justified. The distinction matters because responsible financial management requires both accurate spending records and evidence that purchased services met the government's needs. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-002, pp. 46–48.)

The findings illustrate a recurring oversight problem. Contracting out a task does not transfer the government's responsibility for reviewing it. If financial work is performed externally while the Village lacks an effective system for checking deliverables, reports, or account balances, errors can continue. A clear approval checklist and documented monthly review could provide evidence that tasks were completed and problems addressed, even when staff capacity is limited.

Purchasing Documentation and Disbursement Findings

The special audit selected 60 expenditures for review and found that 46, totaling $933,232, lacked supporting documentation. The 46 transactions represented 76.7% of that selected sample. In a separate judgmental sample of 137 disbursements, auditors found 33 transactions totaling $979,796 without supporting records. These results are serious because the absence of invoices, approvals, or other evidence limits the ability to determine whether money was used for authorized purposes. Nevertheless, the samples were chosen for their characteristics or perceived risk, not at random. The observed percentages cannot be assumed to represent the percentage of all Village transactions with missing documentation. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-014, pp. 182–183.)

Another important limitation is overlap. A disbursement may also be an expenditure appearing in a different part of the report. Adding $933,232 and $979,796 would produce a large figure, but it could double-count some transactions. Also, a transaction can be legitimate yet inadequately documented. A reliable report should therefore describe these as the value of transactions reviewed that lacked adequate records rather than as confirmed losses or money stolen.

These findings support recommendations for consistent purchase requisitions, receipts, authorized signatures, electronic retention of invoices, and regular review of exception reports. They also illustrate how the same weakness can appear across departments when purchasing rules are applied inconsistently. The goal of oversight is not simply to produce paperwork; it is to establish who approved spending, what was purchased, which municipal need it served, and whether the goods or services were delivered.

Bank Counter Withdrawals and Cash Management

The auditors reviewed 23 bank counter withdrawals totaling $698,060. All 23 lacked evidence of independent approval, and 22 withdrawals totaling $663,060 lacked adequate supporting documentation. Seven of the reviewed transactions, totaling $467,388, appeared to be transfers between Village accounts rather than money removed from municipal control. Eleven transactions totaling $24,175 were described as direct cash withdrawals without supporting records. The categories are not necessarily mutually exclusive. These details make it inaccurate to report that $698,060 was proven stolen, missing, or personally received by any official. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-014, p. 184.)

The issue is the absence of a clear trail from bank withdrawal to an authorized municipal purpose. A normal transfer should be supported by both bank statements and accounting entries in the receiving account; a cash withdrawal should identify who received the funds and how the cash was used or deposited. Without independent review, even legitimate transfers become difficult to reconstruct. For public accountability, the process should create an accessible record of purpose, approver, date, amount, and reconciliation.

Municipal Credit Cards, Fees, and Vehicle Purchasing

The audit reported $251,664.91 in municipal credit-card expenditures during the period under review. Auditors examined 88 transactions totaling $66,794. Within that selected group, 39 transactions totaling $24,550 lacked supporting documentation, while 22 totaling $27,837 were flagged as appearing to indicate waste or abuse. Some of the 39 transactions may overlap with the 22 identified as concerning, so the two monetary amounts must not be added as independent losses. The $251,664.91 is the overall credit-card expenditure population examined for risk, not an allegation that all spending was improper. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-015, p. 197.)

Weak credit-card controls increase the difficulty of monitoring recurring small purchases. A cardholder could make a purchase without ensuring that the purchase was preapproved or that an itemized receipt was retained. Clear cardholder rules, monthly statement review by someone other than the user, written business purposes, and restrictions on prohibited categories would allow the Village to distinguish ordinary operations from transactions that warrant investigation.

A separate special-audit finding reported $46,152 in bank fees and credit-card interest over the examined period and associated those charges with cash-management and payment delays. Unlike a questioned purchase that may or may not be legitimate, fees and interest are recorded costs. Their presence does not prove fraud, but it shows a possible financial consequence of late or poorly coordinated account management. (Southwest Accounting Solutions, LLC, 2026, Finding 2025-016, p. 208.)

The report also discussed a specific vehicle purchase: a $34,248 cashier's check issued on December 19, 2023, for a 2024 Subaru Crosstrek. The auditors stated that supporting documentation for authorization, purchasing justification, or its use as a take-home vehicle could not be produced. This finding is a clear example of inadequate procurement documentation. It does not, by itself, establish that the Village received no benefit from the vehicle or that a criminal offense occurred. (Southwest Accounting Solutions, LLC, 2026, "Unauthorized Purchase and Use of Village Vehicle," p. 226.)

[Insert teammate's expenditure and transaction-exception tables and related chart here. Keep population totals separate from sampled amounts and overlapping categories.]

State and Federal Grants and Reporting

Grant management is especially important for municipalities that use state and federal funds for public safety, infrastructure, or utilities. Grant awards normally have restricted purposes and conditions that determine when funds may be spent, what documentation is required, and how the municipality must report outcomes. The special audit described incomplete grant files, inadequate reconciliation between grant funds and expenditures, and missing evidence of governing-body

approval. These problems can make it difficult to determine whether spending followed the rules for each particular award. (Southwest Accounting Solutions, LLC, 2026, Section 4, pp. 116–121.)

For the Law Enforcement Support Positions Grant, identified in the report as NMDFA 23-ZH5048-18, the listed program amount was $393,750. Auditors reported that the Village could not reconcile $133,938 in reported expenditures. They also described $91,063 reverted to the granting agency from an original $225,000 disbursed to the Village. The amount authorized for the program, the amount actually disbursed, the unreconciled spending, and funds reverted are different concepts. In particular, unreconciled spending should not be described as theft, and reverted funds should not be labeled as money spent. (Southwest Accounting Solutions, LLC, 2026, "Grant-Specific Findings," p. 120.)

For a separate $150,000 wastewater-treatment-plant grant identified as SAP-20-E2209-STB, auditors reported that funds received July 25, 2024 were not deposited until August 5, 2024. They also found that all four tested transactions had purchase requisitions and purchase orders dated after vendor invoices. Approval paperwork created after an invoice does not provide the same preventive control as authorization before committing the funds. The problem is both procedural and financial because it reduces the reliability of records used to demonstrate compliance with grant requirements. (Southwest Accounting Solutions, LLC, 2026, "Waste Water Treatment Plant Grant," p. 118.)

These findings support tracking each grant by a unique identifier and recording the award amount, amounts received, expenditures by date, amounts returned, supporting invoice or reimbursement request, and required reports. The Federal Audit Clearinghouse and USAspending.gov may provide independent cross-checks, but an award recorded in a federal database should not be treated as an amount spent unless the type of record confirms it. This report does not introduce new figures from those systems because the team's prior extraction did not include verified Village-specific award records from them.

Payroll, Taxes, Insurance, and Other Administrative Obligations

The audit's original scope also covered employee timecards, leave policies, liability and medical-insurance payments, financial reporting, and payroll-related obligations. These topics matter because payroll and benefits can involve recurring transactions that are less visible than a large capital purchase. An incomplete timecard or missing approval can affect an employee's compensation, while errors in employer reporting may create liabilities or penalties for the municipality. (Village of Cuba, 2025, pp. 13–14.)

The team's earlier source notes identify a reported federal payroll-tax liability of $47,479, associated with the special audit's tax and reporting section (pp. 219–220 in the earlier page index). This is a reported liability, not a corruption finding. The figure should be labeled separately from operating deficits or unsupported purchases; the line-item description and date should travel with the entry when placed into the financial dataset. It helps demonstrate why the controls issue extends beyond purchasing to the accuracy and timeliness of routine government obligations.

Government Ethics and Conflicts of Interest

An ethics concern is distinct from a bookkeeping error because it examines whether an official's public responsibilities may have been used to benefit a private interest. On May 28, 2025, the New

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Mexico State Ethics Commission announced a settlement with Village of Cuba Mayor Denny Herrera and DDH, Inc. Fuel Service Station. The Commission reported finding reason to believe that a Village directive requiring employees to refuel Village vehicles exclusively at Herrera's station improperly benefited the private business and implicated Section 10-16-13.2(A) of the Governmental Conduct Act. The statement described an alleged civil violation addressed through settlement, not a criminal conviction. (New Mexico State Ethics Commission, 2025, pp. 1–2.)

The announcement said that on May 14, 2025, Herrera notified the Village of his ownership interest and clarified that employees could buy fuel at any station accepting WEX cards consistent with applicable purchasing rules. The settlement also required a $2,500 payment to the State of New Mexico and a $1,000 payment to the Village. The press release specified the payment obligations; it did not itself establish that every payment had already been made. A complete discussion should preserve that distinction. (New Mexico State Ethics Commission, 2025, pp. 1–2.)

The case illustrates how government purchasing practices can create a conflict even when a purchase serves a legitimate operational need. An exclusive supplier directive can reduce competition and make it difficult to assess whether the public received favorable terms. Disclosure of ownership, open purchasing procedures, and review by officials without a personal financial interest help protect the municipality's decision-making process. This example supports the report's broader finding that an effective accountability system requires both financial controls and standards for ethical leadership.

Government Oversight and Public Transparency

The special audit's findings point to failures at several stages of financial oversight: employees generating or receiving documents, supervisors reviewing transactions, finance staff reconciling accounts, and elected officials monitoring results. When information does not move reliably between those steps, the governing body may have limited ability to detect problems promptly. The audit recommended outside support from the New Mexico Department of Finance and Administration or another qualified oversight authority, together with experienced accounting assistance. (Southwest Accounting Solutions, LLC, 2026, Executive Summary, pp. 8–9.)

Transparent financial reporting should make it possible to understand what a transaction represents without requiring the public to reconstruct it from unrelated files. A useful record would identify the responsible municipal fund, purpose of spending, date, amount, approval, and any compliance issue. Public disclosure also needs appropriate privacy protections and a clear explanation of what an audit finding does and does not show. For example, a dashboard that labeled every unsupported payment as embezzlement would mislead the public even if the underlying transaction totals were accurate.

The Village's reaction to the 2026 report and any corrective measures should be evaluated against the same standard. Announcing a plan or committee is different from demonstrating that reconciliations were completed, missing files were recovered, or duties were reassigned. The most useful accountability approach measures implementation over time through documented procedures and results rather than relying solely on a statement of intent.

Financial and Community Impacts

The direct financial effects documented in this report include persistent utility operating losses, bank fees and credit-card interest, and difficulty confirming some expenditures. Their possible community consequences are broader but must be discussed carefully. A government that uses operating resources to support an underfunded utility may have less flexibility for other priorities. Poor billing may create uneven treatment of customers. Delays in grant reporting may place future funding opportunities at risk. These are reasonable financial and administrative implications, not measured outcomes proving that particular roads, water lines, or public-safety services failed as a result of a specific audit finding.

Water and wastewater systems provide a particularly clear connection to engineering. Equipment, pumps, maintenance schedules, treatment infrastructure, and regulatory obligations all require predictable funding. If billing records are inconsistent or collections remain overdue, long-term capital planning becomes more difficult. Engineers may design a technically sound system, but responsible operation still depends on the financial processes that support maintenance and replacement. The value of the case is therefore not limited to politics or accounting; it also concerns the management of infrastructure serving the public.

Community trust is another potential consequence. People need to know that fees and taxes are being used for public purposes and that oversight applies consistently to elected leaders and ordinary residents. The documents reviewed establish financial-control findings and an ethics settlement, but they do not measure community opinion. The report therefore treats diminished trust as a plausible concern and recommendation target, not a surveyed result. Publishing clear records and meaningful corrective-action updates may be one way to address that concern.

Systems Thinking and Engineering Application

Systems thinking considers how separate parts of an organization create outcomes through their interactions. In this case, utility billing affects cash receipts; available receipts affect fund balances; financial staff maintain the records; purchasing staff authorize commitments; outside contractors perform selected financial tasks; and the governing body relies on reports to make decisions. If one connection fails, other parts can operate with incomplete information. The audit's findings suggest that repeated weaknesses in documentation and review can reinforce one another across departments.

From an engineering perspective, financial procedures can be treated as a process with inputs, processing steps, review points, outputs, and feedback. The input is a bill, receipt, payroll entry, or grant transaction. A controlled process should preserve an identifier, verify authorization, reconcile the amount, store evidence, and communicate exceptions. Failure points include missing approvals, delayed data entry, estimated utility readings without validation, and unreconciled bank transfers. An improved system would introduce independent checkpoints and generate exception lists for human review rather than allowing questionable items to disappear into aggregate reports.

Our proposed transparency framework is deliberately practical. A spreadsheet or Streamlit interface could display the data already available from public reports, link each value to its source page, and separate operating deficits, balances owed, sampled exceptions, grant amounts, and confirmed costs. The dashboard would not automatically identify fraud and would not connect to private Village accounting systems. Its purpose would be to make published evidence easier to review and reduce errors when the team or the public compares different amounts.

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Recommended Financial Accountability Improvements

The first recommended improvement is a consistent documentation and authorization process. Every expenditure should have an identifiable purpose, an authorized request, a purchase order when required, an itemized invoice or receipt, and proof that the goods or services were received. Exceptions should be logged for review. This directly addresses unsupported spending samples, the vehicle-purchase findings, and the weaknesses in municipal credit-card transactions. (Southwest Accounting Solutions, LLC, 2026, pp. 182–184, 197, 226.)

Second, bank, utility, and grant records should be reconciled regularly by a person or reviewer who did not originate the transaction. For counter withdrawals, the Village should keep documentation connecting both ends of each transfer or identifying how cash was used. For utility accounts, documented meter readings, billing adjustments, collection attempts, and account aging should be reviewed on a routine basis. For grants, expenditures must be tied to an award and to the conditions attached to that award. (Southwest Accounting Solutions, LLC, 2026, pp. 82, 90–93, 116–121, 184.)

Third, the governing body should receive concise financial reports that identify significant account balances, overdue obligations, unresolved exceptions, and progress on corrective actions. An outside accountant may help perform specialized tasks, but responsible officials still need to review and accept that work. A basic conflict-of-interest disclosure and recusal process would also make purchasing decisions more defensible. These steps would not eliminate every risk, but they would create a record of responsibility and make deficiencies easier to identify before they persist for years.

Fourth, the municipality should report to the public in terms that distinguish findings by category. A five-year operating deficit is not the same as a single unauthorized transaction; an unpaid customer receivable is not the same as lost cash; and a settlement is not the same as a criminal judgment. Correct labels and source references are themselves forms of accountability. An educational dashboard built from these principles could show how a more transparent reporting system might work without claiming to replace qualified auditors or accountants.

Data Quality and Source-Traceability Requirements

The research findings were checked against their source context so that later financial visuals can be prepared without reinterpreting the report. For every entry, the team should retain the name and date of the source, printed page number, finding number, fiscal year, transaction or award identifier, amount, amount type, and an explanation of any limitations. Financial extracts should preserve whether a transaction was a population total, judgmental-sample exception, transfer, operating deficit, receivable, liability, or grant award. These labels are part of the underlying dataset, not merely optional notes.

Two specific checks are necessary before the graphs and tables are finalized. First, the conflicting utility-account values of $11,471 and $11,407 appear in the same special-audit discussion on printed page 91 and must not be silently resolved without source confirmation. Second, the $794,334 fiscal year 2024 operating deficit in the special audit is based on a different reported measure than the $749,901 water-and-sewer operating loss in the independently audited fiscal year 2024 financial statements. Both can be correct within their respective definitions; their series should be labeled separately. (Southwest Accounting Solutions, LLC, 2026, pp. 91, 93; Beasley, Mitchell & Co., LLP, 2024, p. 20.)

The team's prior GitHub excerpt also included Village audit-report metadata by fiscal year. FirmWorkFlowID values are record locators, not financial amounts; repeated 2000-01-01 submission dates may represent placeholder entries and should not be presented as verified audit submission dates. The Office of the State Auditor's report-search system is the appropriate location to verify the underlying audit records. Similarly, the New Mexico Capital Dashboard contains capital-appropriation information that should not be mixed with utility losses or transaction findings simply because both concern public finance.

Project Schedule and Milestones

The team began initial research on August 18, 2026, and organized the work around financial records, ethics documentation, systems analysis, report writing, and presentation production. The following dates describe the project's internal work plan. All written and presentation deliverables are scheduled to be completed by November 17, 2026; there is no later report deadline for this team.

August 18, 2026 – Initial research. Identify the Village of Cuba as the case study and begin collecting financial and government-accountability sources.

October 15, 2026 – Project planning. Establish the research focus, organize the report structure, and coordinate responsibilities for research, source checking, programming, and data visualization.

October 22, 2026 – Research and source collection. Review the special audit, fiscal year financial statements, and State Ethics Commission records; group relevant findings by topic.

October 29, 2026 – Financial data analysis. Organize fiscal-year figures, grant information, sampled transaction findings, and source notes. Develop the associated numerical data files for Python and MATLAB figures.

November 5, 2026 – Report development. Review the written sections on finances, ethics, financial oversight, community impacts, and recommended improvements and verify source references.

November 9, 2026 – Presentation preparation. Prepare a presentation version of the findings, assemble the PowerPoint slides, and assign speaking portions.

November 12, 2026 – Proposed video recording. Record the presentation explaining the research, financial findings, ethical concerns, and recommendations.

November 13–16, 2026 – Final project review. Check the written report, presentation materials, citations, and visualization inserts for consistency.

November 17, 2026 – Final presentation and project completion. Present the findings and complete the written report, slides, and presentation video. This is the final team project date.

Team Responsibilities and Deliverables

Group 11 divided the project by function rather than having every member perform the same task. Sean serves as project manager and coordinates work and milestones. Loi maintains the GitHub repository and organizes shared project materials. Thomas developed a Python web-scraping tool to support the search for financial and corruption-related records. Sebastian cleans the numerical data and develops the figures, graphs, and tables in Python and MATLAB. Jovan prepares the

research narrative, integrates source references, and checks the written financial descriptions for accuracy.

The principal deliverable is this source-supported research report. The team also prepares the financial data files, visual materials, PowerPoint presentation, and video. The report already contains the narrative interpretation and numerical findings so that the assigned visualization work can be inserted without changing the central argument or writing a new paper. The final presentation will communicate the difference between documented audit findings and unproven allegations and will explain the proposed accountability improvements.

Limitations

This investigation relies on published documents and does not independently test bank records, interview all relevant officials, or conduct a forensic accounting investigation. The special audit employed consulting procedures and noted limitations where documents were unavailable. For that reason, an exception does not establish the legal responsibility of a particular person or the ultimate destination of every dollar. Selected samples cannot be extrapolated to the full transaction population without an appropriate statistical method. (Southwest Accounting Solutions, LLC, 2026, "Limitations and Reliance," p. 30; Executive Summary, pp. 6–9.)

Another limitation is that public sources present different financial measures and reporting periods. Fiscal year 2024 audited statements, a five-year special audit, and an ethics settlement do not describe the same unit of measurement. The report therefore keeps those findings separate, flags the contradictory account balance on printed page 91, and does not claim that grant deficiencies or utility deficits caused a specific service outage. The most defensible conclusions concern weaknesses in controls and documented costs, not unsupported claims about personal intent.

Conclusion

The evidence reviewed for the Village of Cuba indicates that financial management problems extended across utility operations, purchasing, cash withdrawals, contractor monitoring, grant accounting, and other administrative functions. The five-year utility deficit of $3,097,814, incomplete documentation for selected bank and expenditure transactions, and weaknesses in grant approvals support a finding of serious institutional-control problems. The separate State Ethics Commission settlement illustrates why ethical purchasing rules must be addressed alongside accounting procedures. (Southwest Accounting Solutions, LLC, 2026, pp. 46–48, 90–93, 116–121, 182–184; New Mexico State Ethics Commission, 2025, pp. 1–2.)

The central lesson is that accountability depends on an entire process, not just the existence of a yearly audit. Reliable records, independent review, regular reconciliation, ethical procurement, and accessible public reporting can help reveal weaknesses before they become long-term problems. Using systems thinking and evidence-based financial analysis, the team identified practical ways to improve transparency while respecting the limits of what the source documents prove. The remaining visual materials will illustrate the numerical findings already presented in this report; they are not needed to establish the report's research narrative.

References

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